

HS 125 Mid Semester Examination

F.M.: 40

Answer all questions:

1. Explain the concept of balanced budget multiplier.
2. How can certain instruments of fiscal policy help in automatically stabilizing the economy through their influence on the simple Keynesian multiplier?
3. How does investment sensitivity to interest rate influence the slope of the IS curve? What determines the position of the IS curve?
4. When there is reduction in money supply, how does it influence the LM schedule? Derive the aggregate demand schedule using the concept of IS-LM equilibrium.